

Term Sheet Workflow

Understand the term sheet process from creation to approval

Overview

The term sheet is the first step in creating a credit facility. It's the borrower's proposal outlining the key terms of the facility they want, including maximum facility amount, interest rates, repayment terms, and other conditions. Understanding the term sheet workflow helps you navigate this critical first phase from creation through approval.

Who Can Use This

- Borrowers who create term sheets and want to propose new credit facilities
- Facility Agents who review term sheets and make approval decisions

When This Is Used

Use term sheet workflow when:

- You want to propose a new credit facility to lenders
- You need to request flexible funding arrangements
- You want to understand how term sheets progress from creation to approval
- You need to review a borrower's proposal as a facility agent
- You want to know what happens after term sheet approval

Step-by-Step Process

Creating a Term Sheet

1. Access Term Sheet Creation

- Navigate to the term sheets section

- Click "Create New Term Sheet" or similar button
- Term sheet form opens with required fields

2. Enter Facility Information

- **Facility Name:** Enter a unique name for the facility
- **Maximum Facility Amount:** Specify the total borrowing limit you're requesting
- **Interest Rate:** Enter the proposed interest rate or rate structure
- **Repayment Terms:** Specify how and when repayments will be made
- **Term:** Enter the facility term or duration
- **Purpose:** Describe the purpose of the facility
- **Other Terms:** Fill in any other required facility terms

3. Upload Required Documents

- Upload supporting documents that justify the request
- Include financial statements, business plans, or other required documentation
- Ensure documents meet quality and format requirements
- Verify all required documents are included

4. Review Your Entry

- Check all information for accuracy
- Verify all required fields are filled
- Ensure documents are uploaded correctly
- Review terms to ensure they're reasonable and complete

5. Save as Draft

- Save your term sheet as a draft
- You can return later to complete or edit
- Draft status allows you to work on it over time
- Status shows as "Draft"

New Term Sheet

Basic Information

Term Sheet ID*
Will be generated after Term Sheet is created

Borrower Entity
Borrower Demo

Requested Commitment Amount*
Enter commitment amount (e.g., 100,000,000)

Requested Advance Rate (%)*
Enter advance rate as percentage (e.g., 85.00)

Margin*
Enter margin in basis points (e.g., 350)

Requested Pricing Index*
Select pricing index

Requested Fixed Rate
Enter fixed rate as percentage (e.g., 5.25)

Requested Maturity Date*
MM/DD/YYYY

Requested Draw Frequency*
Select Frequency

Covenant Template*
Select Template

Collateral Profile*
Upload

Facility Agent*
Select Facility Agent

Cancel Create Draft

Facilities

Facility ID	Maturity Date	Covenant
TS-12042025-e4c1	12/04/2025	Standard
MC-12042025-882v	12/04/2025	Standard
MC-12052025-r8ml	12/04/2025	Standard
MC-10162025-5s8n	10/13/2027	Standard

FN-20251118-b40xa

Funding Notice TOKEN_GENERATED 242,412.00

Issuer - Term Sheet Creation

Signing the Term Sheet

1. Complete Draft

- Ensure all required information is entered
- Verify all documents are uploaded
- Review everything one final time
- Make any final edits needed

2. Initiate Electronic Signature

- Click to sign the term sheet electronically
- Electronic signature interface opens
- Review the document you're signing
- Complete the signature process

3. Verify Signature

- Confirm signature is complete
- Review the signed version
- Verify all information is still correct
- Ensure signature is legally binding

4. Status Updates

- Status changes to reflect that term sheet is signed

- Term sheet is ready for submission
- You can now submit for facility agent review

Submitting for Review

1. Prepare for Submission

- Ensure term sheet is signed
- Verify all information is complete and accurate
- Review all terms one final time
- Confirm you're ready to submit

2. Submit to Facility Agent

- Click "Submit for Review" or similar button
- Confirm the submission action
- Status changes to "Under Review" or "Pending Facility Agent Review"
- Facility agent receives notification

3. Wait for Review

- Facility agent reviews your term sheet
- Review typically takes a few days
- You receive notifications about status changes
- You can monitor review progress

Facility Agent Review and Decision

1. Facility Agent Reviews

- Facility agent evaluates your term sheet
- Reviews facility terms, amounts, and conditions
- Checks supporting documentation
- Assesses feasibility and compliance

FACILITY OPERATIONS

Overview

Pending Term Sheets:

Inbox Active Facilities

Inbox data table

Type	Status	Actions
Term Sheet	Pending	View, Edit, Delete
Master Commit	Completed	View, Edit, Delete
Fund Request	Pending	View, Edit, Delete
Term Sheet	Pending	View, Edit, Delete
Master Commit	Completed	View, Edit, Delete
Fund Request	Pending	View, Edit, Delete
Term Sheet	Pending	View, Edit, Delete
Master Commit	Completed	View, Edit, Delete
Fund Request	Pending	View, Edit, Delete

Review Term Sheet

Term Sheet ID* TS0001

Borrower Entity* ABC Corporation

Requested Commitment Amount* \$10,000,000

Advance Rate* 24%

Pricing Index* Fixed

Margin* 350 bps

Maturity Date* 06/28/2035

Fixed Rate 36%

Covenant Template* Standard

Draw Frequency* Monthly

Upload Collateral Profile* Collateral Profile.JSON

Assign Facility Agent* Agent XYZ

Supporting Documents

Upload Financial statements* Financial_statements_2025.pdf
File uploaded by Borrower

Upload KYC Documents* KYC_documents_2025.pdf
File uploaded by Borrower

Upload Collateral Data* Collateral_Data_2025.xlsx
File uploaded by Borrower

Alerts: 1 Breach

Review Term Sheet - FA

2. Facility Agent Makes Decision

- **Approve:** Term sheet meets requirements
 - Status changes to "Approved"
 - Master commitment is automatically created
 - You receive notification of approval
- **Reject:** Term sheet doesn't meet requirements
 - Status changes to "Rejected"
 - Rejection reason is provided
 - You receive notification of rejection
- **Request Changes:** Modifications are needed
 - Status changes to "Changes Requested"
 - Change request details are provided
 - You receive notification of change request

Responding to Change Requests

1. Review Change Request

- Read change request details carefully
- Understand what needs to be modified
- Note any deadlines or priorities
- Check if re-signing is required

2. Make Requested Changes

- Open term sheet for editing (status allows editing)
- Update fields as requested
- Modify documents if needed
- Address all requested changes
- Save your changes

3. Re-sign if Required

- If key terms changed, you may need to re-sign
- Complete electronic signature again
- Verify signed version is correct
- Ensure all changes are reflected

4. Resubmit for Review

- When all changes are complete
- Resubmit for facility agent review
- Status changes back to "Under Review"
- Process repeats until approved or rejected

Rules & Validations

- You can only edit term sheets while they're in Draft or Changes Requested status. Once submitted or approved, editing is restricted.
- You must sign the term sheet electronically before submitting. Unsigned term sheets cannot be submitted.

- Facility agents can approve, reject, or request changes. They cannot create term sheets themselves.
- Approved term sheets automatically create master commitments. You don't need to create master commitments manually.
- Rejected term sheets cannot be resubmitted. If rejected, you must create a new term sheet.
- Change requests allow iterative improvement. You can go through multiple rounds of changes until approved or rejected.
- Electronic signatures are legally binding. Once signed, term sheets represent formal proposals.
- Status controls what actions are available. You can only take actions allowed by the current status.
- All changes are recorded. Every edit, signature, and status change is tracked in the audit trail.
- Required fields must be completed. You cannot submit until all required information is provided.

What Happens Next

After creating a term sheet:

- You can sign it electronically and submit for review
- Facility agent reviews and makes a decision
- If approved, master commitment is automatically created
- If rejected, you can create a new term sheet
- If changes are requested, you can update and resubmit

After term sheet approval:

- Master commitment is automatically created
- Facility agent configures the complete facility structure
- Facility agent submits master commitment for lender approval
- Lenders review and approve the facility
- Facility becomes active, and you can create funding requests

Understanding the term sheet workflow helps you effectively navigate the first phase of credit facility creation, know what to expect at each stage, and successfully move from proposal to active facility.